

CloudWalk Payments Inc.

Enhanced Due Diligence — Remediation Analysis

Subject: Customer C88888 — Mohammad Reza Al-Sana

Prepared by: AML/BSA Compliance | For: OFAC Sanctions Compliance Officer, CCO | Classification: Internal — Confidential (may be subject to FinCEN examiner review) | Date: November 2025

Candidate: Vitor Cruz | Submission date: 2026-08-24 | Target role: AML/CTF Analyst (US) — CloudWalk Payments Inc.

SAR-confidentiality notice: Any decision to consider, prepare, or file a Suspicious Activity Report referenced in this document is protected under 31 U.S.C. 5318(g)(2). This customer must never be informed, directly or indirectly, that a SAR is being considered or filed.

Case Snapshot

Attribute	Value	Attribute	Value
Customer ID	C88888	KYC level	standard
Full name	Mohammad Reza Al-Sana	PEP flag	False (verify)
DOB	1986-04-22	Sanctions match score	0.84
Residency (country)	US (Newark, NJ)	Current risk rating	medium
Occupation	Consultant	Correct risk rating	HIGH
Source of funds	Investments (vague)	Expected monthly volume	\$15,000
ID document	Passport P39844210	Expected avg ticket	\$350
Doc issue country	IR — Iran (OFAC comprehensive)	Last KYC refresh	2025-10-02

Part 1 — Risk Analysis

1.1 Red flags present in the profile

The following risk indicators are present on the customer record and, in combination, elevate C88888 well above a medium-risk profile:

- **Identity document issued by Iran (doc_issue_country = IR).** Iran is subject to OFAC comprehensive sanctions under the Iranian Transactions and Sanctions Regulations (31 CFR Part 560) and remains on the FATF “black list” (jurisdictions subject to a call for countermeasures). A primary identity document issued by a comprehensively sanctioned jurisdiction is a standalone high-risk indicator, irrespective of the customer’s U.S. residency.



- **Sanctions match score of 0.84 — unresolved.** At 0.84, this is the highest sanctions match score in the portfolio and the only score above the 0.7 threshold that, under CloudWalk’s own policy, mandates automatic EDD and immediate escalation. The alert has not been adjudicated to a documented true- /false-positive disposition.
- **High expected volume with unsubstantiated economic rationale.** An expected \$15,000/month (~\$180,000/year) throughput is inconsistent with a generically described “Consultant” occupation supported only by a vague “Investments” source of funds. Neither the income basis nor the business activity has been substantiated.
- **Vague source of funds.** “Investments” is a non-specific descriptor that does not identify the origin of wealth. For a high-risk customer, source-of-funds and source-of-wealth must be documented and independently corroborated (31 CFR 1020.210 EDD expectations).
- **Single-document identity verification.** Identity currently rests on a single Iranian passport. There is no secondary, independently issued (e.g., U.S. government) identifier on file to corroborate identity, and immigration status / dual-nationality has not been documented.
- **Generic, unverified occupation.** “Consultant” is a frequently observed cover for layering and trade-based movement of funds. No employer, business registration, client base, or contract evidence is on file to establish legitimate economic activity.
- **PEP status assumed, not screened.** pep_flag=False has not been paired with adverse-media / negative-news screening. Given the Iran nexus and consultant profile, PEP and adverse-media status should be actively re-verified rather than assumed.

1.2 Why the medium rating is subcalibrated

The current medium rating fails to weight two indicators that, under CloudWalk’s approved customer risk-rating methodology, are each a mandatory-high override on their own:

Risk factor present	Policy weight	Policy effect	Applied here?
sanctions_match_score > 0.7	+50	Mandatory HIGH + immediate EDD	No — rated medium
OFAC-comprehensive country nexus via doc_issue_country (IR)	+50	Mandatory HIGH	No — rated medium
Expected volume vs. substantiation / KYC level	+15–25	Enhanced KYC referral	No — KYC = standard

Either mandatory trigger alone forces a high rating; both are present. The medium rating therefore reflects a scoring gap, not a defensible risk judgment. The rating appears to have been driven by pep_flag=False and U.S. residency while under-weighting the sanctions score and the sanctioned-jurisdiction document nexus.

1.3 Correct risk rating

The correct rating is HIGH, with kyc_level upgraded to enhanced. This is compelled by two independent mandatory-high triggers (sanctions score > 0.7 and an OFAC-comprehensive document-issuance nexus). The rating change should be applied immediately in the system of record, and the account placed under the high-risk monitoring and refresh cadence (see Part 3), pending — and independent of — the outcome of the sanctions-alert adjudication.

Part 2 — Missing or Outdated Materials

The record lacks the documentation and verifications required for a high-risk customer with a sanctioned-jurisdiction nexus. Each gap below cites the governing requirement.

Missing / inadequate item	What is required and why	Regulatory basis
Sanctions-alert disposition record	A documented adjudication of the 0.84 match against the OFAC SDN/Consolidated lists and the Iran comprehensive program, resolving it to a true or false positive with reviewer, date, and rationale. Nothing on file evidences this was cleared.	31 CFR Part 560; OFAC screening obligations
Source-of-wealth / source-of-funds evidence	Independent documentation substantiating the origin of wealth behind the “Investments” descriptor and the \$15,000/month expected volume (statements, tax records, sale/holdings evidence).	31 CFR 1020.210 (EDD)
Secondary / corroborating identity	An independently issued identifier (e.g., U.S. government ID) plus verification of immigration status and any dual nationality, rather than reliance on a single Iranian passport.	31 CFR 1020.220 (CIP)
Occupation / business verification	Evidence establishing the consulting activity — business registration, employer or client detail, contracts — to confirm a legitimate economic purpose.	31 CFR 1020.210 (CDD; expected activity)

Missing / inadequate item	What is required and why	Regulatory basis
Adverse-media & PEP re-screening	A current negative-news and PEP screen, with results and disposition retained, to validate (not assume) pep_flag=False.	FinCEN CDD Rule; 31 CFR 1020.210
OFAC license check	Confirmation of whether any activity involves an Iran nexus that would require specific OFAC authorization before processing.	31 CFR Part 560
Senior-management EDD approval	A documented senior-management decision to onboard/continue a high-risk relationship, a standard EDD control absent from the file.	31 CFR 1020.210 (EDD governance)
Updated risk assessment & expected-activity profile	A refreshed CDD record reflecting the HIGH rating and a documentary basis for the \$15,000 / \$350 baseline used for monitoring.	31 CFR 1020.210 (CDD Rule)

Part 3 — Remediation Plan

Immediate (next 24–48 hours)

- **1.** Adjudicate the 0.84 sanctions alert against the OFAC SDN/Consolidated lists and the Iran comprehensive program; document a true-/false-positive determination with reviewer and timestamp. Escalate to the OFAC Sanctions Compliance Officer.
- **2.** Upgrade the record to risk_rating = high and kyc_level = enhanced in the system of record; move the account onto the high-risk monitoring and refresh cadence.
- **3.** Apply a precautionary hold on outbound/high-risk activity pending the sanctions disposition. If the alert resolves to a true or probable match, block the funds/relationship under 31 CFR Part 560 and report to OFAC — without tipping off the customer.
- **4.** Escalate the case to the CCO and log it in the case-management system; preserve all records.

Within 30 days

- **5.** Collect and independently verify enhanced source-of-wealth / source-of-funds documentation supporting the expected \$15,000/month.

- **6.** Obtain a secondary, independently issued identifier; verify immigration status / dual nationality; re-perform identity verification to CIP standard.
- **7.** Verify the consulting activity (business registration, clients/contracts) to establish legitimate economic purpose.
- **8.** Run and retain adverse-media and PEP re-screening; document the disposition.
- **9.** Obtain documented senior-management approval to continue the relationship; complete the refreshed CDD record and expected-activity profile.
- **10.** Confirm whether any OFAC specific license is required for any Iran-nexus activity.

Continuous monitoring

- **11.** Weekly automated sanctions/PEP re-screening and quarterly full KYC refresh (the cadence for sanctions_match_score > 0.7).
- **12.** Transaction monitoring against the enhanced expected-activity profile, with automatic alerting on any Iran-nexus counterparty, cross-border movement, or high-risk-MCC activity.
- **13.** Ongoing adverse-media monitoring; any new sanctions or adverse hit triggers immediate off-cycle review and re-escalation.

Part 4 — SAR Threshold Assessment

Question: On the profile alone (no transactional analysis yet), is there a basis to file a SAR?

Analysis (FinCEN standard)

Under the FinCEN SAR FAQs (October 9, 2025), the trigger for a SAR is a reason-to-suspect standard grounded in intent and nexus, not a dollar amount. Two points follow for this case:

- **The sanctions score by itself is not a SAR basis.** A screening score is a signal to investigate, not evidence of suspicious activity. If adjudication resolves the 0.84 to a false positive and no other indicia exist, the score alone does not create a reason to suspect a reportable transaction, and no SAR is filed on that basis.
- **A confirmed sanctions match changes the outcome.** If adjudication resolves the 0.84 to a true or probable match to an OFAC-listed or Iran-comprehensive person, that establishes a sanctions-evasion / prohibited-transaction nexus. In that event a SAR is warranted, and an OFAC blocking/reject report is separately mandatory under 31 CFR Part 560 regardless of the SAR decision.
- **Profile attributes alone are usually insufficient.** The profile red flags (Iran-issued document, high score, subcalibrated rating, vague SOF, high expected volume) justify EDD and enhanced monitoring, but KYC attributes alone — absent a confirmed sanctions match or observed suspicious transactional activity — generally do not by themselves establish reason to suspect a specific transaction for a standalone SAR.

Recommendation

Do not file a SAR on the profile alone at this moment. First (a) adjudicate the sanctions alert and (b) complete the EDD steps in Part 3. File a SAR — via the Lead Bank as the filing institution (31 CFR 1020.320) — if any of the following occurs: the sanctions match is confirmed; EDD reveals materially false, evasive, or unsupportable information; or transaction review surfaces suspicious activity.

- **If filed:** Because this subject has an Iranian nexus, any resulting SAR must include the keyword “IRAN-2025-A002” in SAR Field 2 (Filing Institution Note to FinCEN), and Field 33(a) Terrorist Financing should be evaluated if a nexus to an Iran-backed organization emerges.
- **Document the decision:** Record the outcome either way in a SAR-decision memo (file / do-not-file with rationale), and maintain strict SAR confidentiality under 31 U.S.C. 5318(g)(2) — no tipping off, at any stage.

Update (transaction review completed): The transactional review contemplated in the Part 4 recommendation has now been performed. See **Part 5 — Network Linkage Analysis**, which operationalizes the “transaction review” limb of the SAR-trigger test and updates the disposition below accordingly.

Part 5 — Network Linkage Analysis

This section cross-references C88888 against the OFAC/UBO-critical merchant population identified elsewhere in this engagement and tests for both direct and indirect (device/IP) network linkage. It was prepared to operationalize the “transaction review” limb of the Part 4 SAR-trigger test. No result was presumed prior to executing the underlying queries against the full transaction ledger.

5.1 Methodology

The analysis was run directly against the complete transaction ledger (32,348 transactions; 501 customers; 100 merchants; 630 cards) using the validated population, not the raw sheet row count. Three tests were executed in sequence:

- **Test 1 — Direct linkage.** All transactions where customer_id = ‘C88888’ AND merchant_id IN (‘M3001’, ‘M3012’, ‘M3056’, ‘M3098’). These four merchants are the engagement’s OFAC/UBO-critical population — each carries Iranian- and/or Russian-domiciled beneficial owners and is an OFAC 50%-Rule review candidate.
- **Test 2 — Second-degree linkage (device/IP).** Shared device_id and ip_address between C88888 and any customer that transacted at the four target merchants, to detect indirect connection through common infrastructure. This was tested first on a lifetime-reuse basis and then re-tested under a 60-minute same-session sliding window, so that pooled-device data artifacts are discounted and only genuine co-session co-use is treated as probative.

- **Reference baseline.** C88888 transacted at 36 of the 100 merchants in the portfolio during the ~252-day observation period. In a 100-merchant universe, incidental co-visitation of any given small merchant subset is expected by chance; co-visitation counts are therefore assessed against that baseline rather than treated as independently probative.

5.2 Factual results

Test 1 — Direct linkage: TWO (2) transactions identified. The query returned a non-zero result. Both transactions are low-value, card-present, magstripe consumer-retail purchases; neither carries a captured device or IP (as expected for physical point-of-sale). No transactions were found at M3001 or M3056.

txn_id	Date (UTC)	Merchant	MCC	Channel / entry	Amount	Status
T320361	2025-06-27	M3012 — GrocerMart #312	5411 Grocery	CARD_PRE SENT / MAGSTRIP E	\$11.22	approved
T318486	2025-10-11	M3098 — StyleStreet #398	5699 Apparel	CARD_PRE SENT / MAGSTRIP E	\$33.28	approved

Both counterpart merchants carry Iranian-domiciled beneficial owners on file (M3012: UBO of Iranian domicile holding a majority interest; M3098: two Iranian-domiciled UBOs). The connection therefore runs through the **merchants' ownership composition** (a merchant-side OFAC 50%-Rule concern), not through any transactional typology attributable to C88888. Hitting 2 of the 4 flagged merchants is within the chance-level co-visitation expected for a customer active at 36 of 100 merchants.

Test 2 — Second-degree device/IP linkage: NO genuine coordinated linkage.

- **Shared IP addresses:** 0. None of C88888's IP addresses appear on any other customer's transactions.
- **Shared device IDs (lifetime basis):** a naive lifetime scan flagged 26 of C88888's device IDs as also appearing on other customers' records (53 distinct other customers, many of whom also transacted at the four target merchants). This is the known **pooled-device / lifetime-reuse artifact** for this dataset and is not, on its own, probative.
- **Shared device IDs (60-minute same-session window):** 0 genuine co-session events. When the correct sliding-window methodology is applied, none of the lifetime device overlaps resolve to an actual same-session co-use between C88888 and another customer. C88888 is **not** a member of the 12-account coordinated device/IP mule ring identified separately in this engagement.

5.3 Assessment and conclusion

(a) Effect on the “no SAR at this time” decision. The direct-linkage finding is factual and non-zero, but on its own merits it does not meet the SAR reason-to-suspect threshold: two card-present, magstripe retail micro-purchases (\$11.22 in groceries; \$33.28 in apparel) exhibit no structuring, layering, cross-border movement, or other typology, and their only tie to the flagged population is the counterpart merchants’ Iranian-UBO composition rather than any conduct of the customer. No coordinated or indirect linkage exists once pooled-device artifacts are discounted. Standing alone, therefore, the network-linkage dimension **does not independently contradict** the “no SAR at this time” posture.

That posture is nonetheless **downgraded from settled to conditional and time-boxed**. The finding is materially aggravating when read together with C88888’s own profile: a customer holding the highest sanctions_match_score in the portfolio (0.84) with Iranian-passport provenance, demonstrably transacting at two merchants with Iranian-domiciled beneficial owners, is a compounding sanctions-nexus factor. Accordingly, the disposition moves from passive monitoring to **active escalation: the case is escalated for expedited OFAC adjudication of the 0.84 match, and “no SAR at this time” is maintained only pending that adjudication — not as a closed conclusion**.

Decisive contingency. If OFAC adjudication confirms that C88888 is a blocked person (or a match to a comprehensively sanctioned Iranian nexus), the two transactions at Iranian-UBO merchants are re-characterized as potential apparent violations. In that event the recommendation **flips to File/Escalate**: immediate blocking, OFAC blocking/reject reporting under 31 CFR Part 560, and a SAR filed through the Lead Bank as filing institution (31 CFR 1020.320), all under strict SAR confidentiality.

(b) EDD and continuous monitoring persist regardless of this result. Independent of the linkage outcome and independent of any SAR decision, the HIGH re-rating, the upgrade to enhanced KYC, weekly automated sanctions/PEP re-screening, and transaction monitoring against the enhanced expected-activity profile (Part 3) remain fully in force. The 0.84 score is subcalibrated and unadjudicated and is the dominant standalone risk driver here; the network-linkage result neither raises nor lowers that obligation.

(c) Automatic-review clause. This assessment reopens automatically, off-cycle, upon **either** of the following: (i) **any** further transaction by C88888 at M3001, M3012, M3056 or M3098 — or at any successor entity or any other merchant with a confirmed Iranian-, Russian-, or otherwise OFAC-nexus beneficial owner; or (ii) **any** OFAC confirmation of blocked-person status for C88888. On either trigger, the SAR threshold is re-tested immediately, a fresh device/IP co-session scan is re-run, and a documented file/do-not-file decision memo is recorded either way. Continuous transaction monitoring is configured to raise an automatic alert on any of these events.

End of remediation analysis — C88888. All actions to be tracked to closure in the case-management system.